

in their portfolio. Conversely, when interest rates fall and prices of fixed-income securities rise, there is an increase in the NAVs of fixed-income funds, providing investors with positive returns. However longer-duration bonds are more sensitive to interest rate changes than shorter-duration bonds.

So, if the RBI cuts the repo rate by 100 basis points in the next one or two years, long-duration funds can generate substantial returns. Shah of Axis Mutual Fund says recent moves by the RBI have helped debt funds. "Since January, the RBI has taken various steps to inject durable banking liquidity along with the rate cut of 25 basis points in Monetary Policy Committee meeting in February." These moves have stabilised rates at the short end and led to a rally in long bond yields by 5-10 bps, which have had a positive impact on debt funds on a mark-to-market basis. Shah expects



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"This (India's inclusion in the JP Morgan Global Bond Index) has definitely benefited debt funds as long duration bond yields have rallied due to FPI flows"



KAUSTUBH GUPTA
CO-HEAD, FIXED INCOME, ADITYA BIRLA SUN LIFE AMC

"Despite the volatility marked by early days of US President Donald Trump's tenure, bond yields have eased in the US and in most major markets"

the repo rate to be cut by a further 25-50 bps in the next three to six months and additional liquidity measures this calendar year.

Others too expect further cuts by the central bank. With India's GDP growth slowing and inflation aligning closer to the RBI's 4% target, there is room for another 50 bps of rate cuts, believes Kaustubh Gupta, Co-Head of Fixed Income at Aditya Birla Sun Life AMC. The upshot for fixed income investors is potentially good returns. According to Anurag Mittal, Head of Fixed Income at UTI AMC, "A repo rate cut of 100 bps or higher may lead to some capital gains in long duration funds as they are regulatorily required to maintain a minimum Macaulay duration of seven years." These funds are ideal for investors with a long-term horizon who want to capitalise on the interest rate environment, he explains. The Macaulay duration is the time required to fully repay the initial investment of a bond through the internal cash flows.

Murthy Nagarajan, Head of Fixed Income at Tata Asset Management, notes that liquidity infusion by the RBI has helped stabilise market conditions, although the overall stance remains neutral. "We expect further rate cuts in 2025, which may take the ten-year yields into the 6.25 to 6.50% band in the current calendar year", Nagarajan added. The longer end, which is bonds with a duration of five years or more, has already rallied, with the 10-year sovereign yield dropping from 7.2% in January 2024 to 6.7% now. The short to medium-duration segment, that is durations up to five years, looks attractively valued and should benefit from easing rates and improving liquidity.

"Hence, short-term and corporate bond funds are likely to perform better in the current rate cycle," says Mittal. Most central banks cut rates in 2024 and are expected to continue to do so this year. "Despite the volatility marked by early days of US President Donald Trump's tenure, bond yields have eased in the US and in most major markets," says Kaustubh Gupta, Co-Head of Fixed Income at Aditya Birla Sun Life AMC.

RUPEE IMPACT

Another factor influencing debt markets is the depreciation of the Indian rupee over the past six months, triggered by the uncertain global environment. Shah of Axis says a falling rupee has historically led to a tighter monetary policy, negatively impacting bond markets. "However, in 2024, the rupee depreciated by 3-4% compared to other emerging market currencies that fell by 8-10%," Shah says.

Mittal of UTI AMC explains that the rupee depreciated primarily because it was playing "catch up" as